

Multiple Choice (10 marks)

1. Whether imposed for protective purposes or to raise revenue, tariffs can be imposed in two different ways. Define these two methods of imposing tariffs, and give an example of each.
 - (a) Per unit and per category
 - (b) Ad valorem and specific
 - (c) Percentage and fixed fee
 - (d) Comprehensive and selective
 - (e) Fixed rate and variable rate
2. When my expected annual income is \$20,000 and the rate of interest is 9.8% what is my total wealth?
 - (a) \$210,000
 - (b) \$190,000
 - (c) \$220,082
 - (d) \$235,000
 - (e) \$225,000
3. Suppose that an expansionary fiscal policy leads to a large increase in real output and a small increase in the price level. From this it can be inferred that
 - (a) inflation had already impacted the economy before the fiscal stimulus.
 - (b) aggregate demand is steeply sloped.
 - (c) the fiscal policy was ineffective.
 - (d) aggregate supply decreased.
 - (e) aggregate supply increased.
4. Lower interest rates in the United States cause the value of the dollar and exports to change in which of the following ways? VALUE OF THE DOLLAR U.S. EXPORTS
 - (a) Increasing Unchanged
 - (b) Decreasing Unchanged
 - (c) Unchanged Decreasing
 - (d) Decreasing Decreasing
 - (e) Unchanged Unchanged
5. What could the government do to most effectively avoid a free rider problem?

- (a) Supply public goods using tax dollars
- (b) Initiate a lottery system for the usage of public goods
- (c) Enact stricter antitrust legislation
- (d) Increase the prices of public goods
- (e) Allow private companies to supply public goods

True / False (10 marks)

Answer True or False

- 6. True or False: When opportunity cost is constant across all production levels, the production possibilities frontier is concave to the origin.
- 7. True or False: For an autoregressive process to be stationary, the roots of the characteristic equation must all be less than one in absolute value.
- 8. True or False: Marginal costs refer to the additional cost incurred from producing one more unit of a good or service.
- 9. True or False: If real GNP doubles while the quantity of money increases by 80%, the price level must increase by 20%.
- 10. True or False: An increase in the money supply leads to an increase in output in the short run and an increase in the general price level in the long run.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the implications of trade between a rich country and a poor country, where the former gains significantly more than the latter. Is this indicative of exploitation? Support your argument with economic theories.
- 12. Discuss why the achievement of full employment alone is insufficient for the maintenance of economic growth, considering various factors that influence sustainable development.

End of Paper